

Econ 101 | Vignette C1

The Butterbeer Tax

The Ministry was in some financial trouble after their considerable expenditures during the war, and decided to impose a tax of 2 Galleons. Use a graph to evaluate the welfare effects the policy had on the market.

The supply and demand curves for butterbeer can be represented by the following equations.

$$P_b = 20 - \frac{1}{2}Q_d$$

$$P_s = 2 + \frac{1}{2}Q_s$$

